



M529200

ORIGINAL
1 11-851SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

Form 10-K

Annual Report Pursuant to Section 13 or 15(d) of
The Securities Exchange Act of 1934

For the fiscal year ended March 31, 1982

Commission file number 0-9864

MICROPIN CORPORATION

(Exact name of registrant as specified in its charter)

California

95-2882527

(State or other jurisdiction of
incorporation of organization)(I.R.S. Employer
Identification No.)

168 Vista Avenue, Pasadena, California

91107

(Address of principal executive offices)

(ZIP Code)

Registrant's telephone number,
including area code

(213) 449-6431

Securities registered pursuant to Section 12(b) of the Act:

Title of each class

Name of each exchange on
which registered

NONE

Securities registered pursuant to Section 12(g) of the Act:

NONE

(Title of class)

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.

Yes X No

Documents Incorporated by Reference

NONE

State the aggregate market value of the voting stock held by nonaffiliates of the registrant - \$3,770,010, as of June 24, 1982.

Indicate the number of shares outstanding of each of the registrant's classes of common stock, as of May 29, 1982.

3,359,120

PART I

Item 1. Business.

Micropin Corporation (hereinafter referred to as "Micropin" or "Company") was incorporated in 1974 under the name "EAD Incorporated". From its inception through 1980 the Company was engaged in the development of a pinball-like amusement device.

Actual production of the device commenced on a limited basis prior to March 31, 1980. The devices are placed in various restaurant cocktail lounges and bars in the Los Angeles area on a revenue-split basis. Ownership of the devices is retained by Micropin.

On April 10, 1981 management elected to suspend production of the Micropin game. At the time, the purpose of the action was to allow the Company the opportunity to design certain modifications to the game which, in the opinion of management, would increase its marketability. The Company subsequently decided to permanently terminate production of the Micropin game and sell all completed games, materials and rights to manufacture and market the game. Management believes that, because of the high manufacturing costs of the game at the Company's present level of operations, better operating results can be achieved by selling the assets and rights to the game for a fixed price plus a royalty.

The Company has modified its strategy by purchasing and operating video amusement games produced by other manufacturers.

During the year ended March 31, 1982 the Company acquired all of the outstanding stock of Mobile Engineering, Inc., dba Elcon Industries, Inc. ("Elcon"), a manufacturer of video amusement games.

The Company began engaging in certain investing and business consulting services during the year.

Item 2. Properties.

The Company leases its principal office in Pasadena, California. Elcon leases office space and manufacturing facilities located in Royal Oak, Michigan. Micropin's lease expires in 1988 and Elcon's expires in 1984. In the opinion of management, the properties are in good condition and is adequate for the Company's current and reasonably foreseeable future needs. The Company believes that its manufacturing equipment is adequate for its operations and that all of such equipment is in good operating order and repair.

Item 3. Legal Proceedings.

The Company's wholly-owned subsidiary, Elcon, is defendant in two lawsuits. Both lawsuits were filed by major manufacturers of video games and allege copyright infringement, patent infringement, trademark infringement and unfair competition. The lawsuits, which were filed on April 22, 1982 and May 12, 1982, respectively, are in the pre-trial discovery stages, and seek unspecified damages. Management believes that Elcon has adequate defenses against the lawsuits and that they will not result in any material liability to the Company. However, since the proceedings are still in the pre-trial stages the ultimate impact on the financial statements cannot be estimated.

Item 3. Legal Proceedings - continued

Micropin was plaintiff in an action filed November 2, 1978 against another company alleging breach of contract and misrepresentation. In June 1979, the defendant company filed a cross-complaint against Micropin alleging breach of contract. The parties have agreed, in principle, to terminate the litigation by dismissal of the complaint and cross-complaint. Accordingly, the settlement of this litigation has resulted in no material impact on the financial statements.

There are no other legal proceedings by or against the Company.

Item 4. (Not applicable)

PART II

Item 5. Market for the Registrant's Common Stock and Related Security Holder Matters.

(a) Price Range of Common Stock

The following table shows the range of closing bid prices for the Common Stock in the over-the-counter market for the calendar quarters indicated, as reported by NASDAQ. The quotations represent prices in the over-the-counter market between dealers in securities, do not include retail markup, markdown or commission and do not necessarily represent actual transactions.

	Bid Prices	
	High	Low
Fourth quarter 1980	2 15/16	2 5/16
First quarter 1981	3 1/4	2 5/16
Second quarter 1981	2 7/8	2
Third quarter 1981	1 7/8	1 1/8
Fourth quarter 1981	1 5/8	7/8
First quarter 1982	2 1/8	1 1/2

(b) Approximate Number of Holders of Common Stock

The Approximate number of holders of record of Micropin's Common Stock as of May 32, 1981 is 600. (1)

(1) Included in the number of stockholders of record are shares held in the "nominee" or "street" name.

(c) Dividends

Item 5. Market for the Registrant's Common Stock and Related Security Holder Matters - Continued

The Common Stock, no par value, is the only class of stock authorized by the Company. Except as noted below with respect to shares held by Messrs. Heinrich and Stewart, holders of Common Stock are entitled to receive dividends when and as declared by the Board of Directors from the funds legally available for that purpose.

The shares held by Messrs. Heinrich and Stewart are not entitled to participate in dividends or other distributions to shareholders, if any until certain restrictions imposed by the California Commissioner of Corporations are removed. Such restrictions and conditions imposed by the Commissioner of Corporations would ordinarily be removed when justified by the operating results of the Company.

Item 6. (Not applicable)

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Liquidity and Capital Resources

During the fiscal year ended March 31, 1981 the Company was in the development stage and its financing all came from equity sources. During 1981 the Company consummated a public offering of its common stock and became an operating entity. During 1982, the Company acquired all of the stock of Mobile Engineering, Inc., dba Elcon Industries, Inc. ("Elcon") in exchange for 500,000 shares of its common stock plus certain contingently issuable shares and stock purchase warrants.

Working Capital

	<u>1982</u>	<u>1981</u>	<u>1980</u>
Working capital	\$ 1,737,119	\$ 2,774,723	\$(143,957)
Working capital ratio	3.9	29.0	0.1

Material changes in working capital (in thousands) are summarized as follows:

	<u>1982</u>	<u>1981</u>	<u>1980</u>
Issuance of capital stock	\$ 656	\$ 4,255	\$ 700
Used in operations	(160)	(777)	(704)
Investment in fixed assets - net	(324)	(559)	(292)
Non-current assets of company acquired	(442)	-	-
Increase in long-term notes receivable	(705)	-	-
Other changes	(63)	-	-
Net Change	<u>\$ (1,038)</u>	<u>\$ 2,919</u>	<u>\$ (296)</u>

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations - Continued

Capital Needs

The Company has no major purchase commitments or other commitments other than for the lease of premises as shown in the financial statements. Management does not presently plan to borrow funds, sell securities or enter into any other arrangements to raise funds.

Financial Position

Video game equipment

The investment in video equipment reflects the Company's entry into the video game operation market.

Assets of Acquired Company

The balance sheet at March 31, 1982 reflects increases in several major assets resulting from the acquisition of Elcon, a manufacturer of video games. Major assets of Elcon included are:

Accounts receivable	\$ 440,146
Inventories	505,273
Fixed assets	71,040
Goodwill	364,889
Current liabilities	556,053

No long-term debt was acquired.

Notes Receivable

As is shown in note 5 to the consolidated financial statements, the Company has invested idle funds in two subordinated convertible notes receivable. Management believes that the investments should be regarded as somewhat speculative; management believes, however that the investments will be recovered and that the conversion features, as described in the financial statements provide an opportunity for a potentially very high return.

Equipment and Materials Held for Resale

The Company has decided to terminate production of the Micropin game and attempt to sell all of the related assets and rights to the manufacture and marketing of the game. Management believes that, because of the high manufacturing costs of the game at the Company's present level of operations, better operating results can be achieved by locating a substantial, qualified buyer to assume manufacturing and marketing activities for the game in exchange for a fixed price plus an ongoing royalty. (See item 1).

The related assets are carried at cost and included in "equipment and materials held for resale" in the balance sheet. Management believes that these assets will ultimately be sold at a price sufficient to recover the cost with a continuing royalty.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations - Continued

Results of Operations

Revenues and Net Income (Loss). Because Micropin was in the development stage during 1980 there was no significant revenue from operations. Operations began on a limited basis during 1981 with revenues from operations amounting to approximately \$42,000. However, limited volume and increases in operating costs resulted in an operating loss for 1981 of \$944,000 as compared to \$726,000 for 1980. Unused working capital resulting from the proceeds of the public stock offering were invested primarily in short-term certificates of deposit, which resulted in interest income (net of interest expense) of \$145,000 in 1981.

During 1982, the Company shifted its emphasis from the production and operation of the Micropin game to the purchase and operation of electronic video games. Additionally, as previously stated, the Company acquired Elcon Industries, Inc., a manufacturer of electronic video games, effective January 1, 1982. The operations of Elcon were accordingly consolidated with those of Micropin for the three months ended March 31, 1982 only. The consolidated operating results with respect to sales and operations of the various electronic amusement games are summarized as follows:

	<u>Revenues</u>	<u>Cost of Sales</u>	<u>Net</u>
Sales of video games	\$ 861,525	\$ 603,643	\$ 257,882
Revenues from operations of games	<u>357,190</u>	<u>154,161</u>	<u>203,029</u>
	<u>\$ 1,218,715</u>	<u>\$ 757,804</u>	<u>\$ 460,911</u>

Consulting fees. As explained in note 4 to the consolidated financial statements, the Company received a consulting fee of \$300,000 in the form of common stock in exchange for certain financial consulting services. Management expects that certain additional similar services may be rendered to other companies in the future.

Interest income. Interest income is derived from two major sources. During both 1982 and 1981 the Company had substantial idle cash invested in temporary cash investments. In addition, the Company has made loans to two companies in exchange for subordinated convertible notes bearing interest at 15% (see note 5 to the financial statements). In 1980, the Company had no substantial idle cash funds, since it preceded the public offering. Accordingly, interest income was very nominal.

Item 8. Financial Statements.

MICROPIN CORPORATION AND SUBSIDIARY

CONSOLIDATED BALANCE SHEET

MARCH 31, 1982 AND 1981

ASSETS

	<u>1982</u>	<u>1981</u>
Current assets		
Cash, including certificates of deposit of \$1,125,000 in 1982 and \$2,689,603 in 1981 (note 2)	\$ 1,286,025	\$ 2,829,191
Accounts receivable, net of allowance for doubtful accounts of \$58,000 in 1982	458,808	7,761
Receivables from officers and stockholders	7,200	10,228
Interest receivable	39,078	16,367
Inventories (note 3)	505,273	-
Prepaid expenses and other assets	<u>39,007</u>	<u>10,259</u>
Total current assets	<u>2,335,391</u>	<u>2,873,806</u>
Fixed assets (notes 1 and 6)		
Electronic video games	271,799	-
Furniture and fixtures	58,832	30,147
Machinery and equipment	77,293	45,057
Transportation equipment	27,997	13,024
Leasehold improvements	<u>12,528</u>	<u>-</u>
	448,449	88,228
Less accumulated depreciation and amortization	<u>(89,144)</u>	<u>(22,762)</u>
	<u>359,305</u>	<u>65,466</u>
Other assets		
Notes receivable (notes 5 and 10)	705,469	-
Investment (note 4)	300,000	-
Equipment and materials held for resale (note 6)	815,575	776,987
Goodwill, net of amortization (notes 1 and 11)	364,889	-
Deferred charges and other	<u>63,738</u>	<u>1,000</u>
	<u>2,249,671</u>	<u>777,987</u>
	<u>\$ 4,944,367</u>	<u>\$ 3,717,259</u>

The accompanying notes are an integral
part of these financial statements.

MICROPIN CORPORATION AND SUBSIDIARY

CONSOLIDATED BALANCE SHEET

MARCH 31, 1982 AND 1981

LIABILITIES AND STOCKHOLDERS' EQUITY

	1982	1981
Current liabilities		
Accounts payable	\$ 386,346	\$ 69,517
Accrued expenses	20,478	29,566
Notes payable (note 7)	171,086	-
Equipment contracts payable	20,362	-
Total current liabilities	598,272	99,083
Commitments and contingencies (notes 6, 10, 11, 12 and 13)		
Stockholders' equity		
Common stock, no-par value - 5,000,000 shares authorized; 3,895,120 shares and 3,395,120 shares issued at March 31, 1982 and 1981, respectively, including 36,000 shares held in treasury; 3,859,120 shares and 3,359,120 shares outstanding at March 31, 1982 and 1981, respectively (note 8)	6,812,792	6,156,542
Accumulated deficit	(2,466,697)	(2,538,366)
Total stockholders' equity	4,346,095	3,618,176
	<u>\$ 4,944,367</u>	<u>\$ 3,717,259</u>

The accompanying notes are an integral

MICROPIN CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENT OF OPERATIONS
THREE YEARS ENDED MARCH 31, 1982

	<u>1982</u>	<u>1981</u>	<u>1980</u>
Sales - net	\$ 1,218,715	\$ 42,217	\$ -
Other income			
Consulting fees (note 4)	300,000	-	-
Interest income, net	<u>346,737</u>	<u>145,681</u>	<u>15,292</u>
	<u>1,865,452</u>	<u>187,898</u>	<u>15,292</u>
Costs and expenses			
Cost of sales	757,804	17,011	-
Selling, general and administrative expenses	<u>1,033,588</u>	<u>969,056</u>	<u>726,046</u>
	<u>1,791,392</u>	<u>986,067</u>	<u>726,046</u>
Income (loss) before provision for income taxes and extraordinary item	74,060	(798,169)	(710,754)
Provision for income taxes (note 9)	<u>16,000</u>	<u>200</u>	<u>200</u>
Income (loss) before extraordinary item	58,060	(798,369)	(710,954)
Extraordinary item - tax benefit resulting from utilization of tax loss carryforward	<u>13,609</u>	<u>-</u>	<u>-</u>
Net Income (Loss)	<u>\$ 71,669</u>	<u>\$ (798,369)</u>	<u>\$ (710,954)</u>
Income (loss) per share based on weighted average number of shares outstanding (note 1)			
Before extraordinary item	<u>\$.017</u>	<u>\$ -</u>	<u>\$ -</u>
Net income	<u>\$.020</u>	<u>\$ (.340)</u>	<u>\$ (.419)</u>
Weighted average number of shares outstanding	<u>3,484,120</u>	<u>2,345,842</u>	<u>1,697,117</u>

The accompanying notes are an integral
part of these financial statements.

MICROPIN CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENT OF STOCKHOLDERS' EQUITY
THREE YEARS ENDED MARCH 31, 1982

	Common Stock (note 8)		Accumulated	
	Shares	Amount	Deficit	Total
Balance, April 1, 1979	1,655,200	\$ 1,202,000	\$(1,029,043)	\$ 172,957
Shares issued at \$5 per share	140,000	700,000	-	700,000
Shares issued for finders services	3,500	-	-	-
Net loss - year ended March 31, 1980	-	-	(710,954)	(710,954)
Balance, March 31, 1980	1,798,700	1,902,000	(1,739,997)	162,003
Shares issued at \$5 per share	69,000	345,000	-	345,000
Shares issued as bonuses to key employees	10,000	50,000	-	50,000
Shares issued for employee recruiting services	3,920	19,600	-	19,600
Shares issued for finders services	6,500	-	-	-
Shares issued at \$3 per share in partial payment of interest on a note	7,000	21,000	-	21,000
Shares issued in public offering	1,500,000	3,818,942	-	3,818,942
Net loss - year ended March 31, 1981	-	-	(798,369)	(798,369)
Balance, March 31, 1981	3,395,120	6,156,542	(2,538,366)	3,618,176
Shares to be issued in connection with acquisition of subsidiary (note 11)	500,000	656,250	-	656,250
Net income - year ended March 31, 1982	-	-	71,669	71,669
Balance, March 31, 1982	<u>3,895,120</u>	<u>\$ 6,812,792</u>	<u>\$(2,466,697)</u>	<u>\$ 4,346,095</u>

The accompanying notes are an integral part of these financial statements.

MICROPIN CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENT OF CHANGES IN FINANCIAL POSITION
THREE YEARS ENDED MARCH 31, 1982

	<u>1982</u>	<u>1981</u>	<u>1980</u>
Working capital was applied to:			
Operations			
Net (income) loss before extraordinary item	\$ (58,060)	\$ 798,369	\$ 710,954
Items not (requiring) providing working capital			
Depreciation and amortization	(68,677)	(21,143)	(6,123)
Consulting fees (note 4)	<u>300,000</u>	<u>-</u>	<u>-</u>
Working capital applied to operations before extraordinary item	173,263	777,226	704,831
Extraordinary item	<u>13,609</u>	<u>-</u>	<u>-</u>
Working capital applied to operations	159,654	777,226	704,831
Purchase of fixed assets	307,158	23,478	37,847
Increase in notes receivable	705,469	-	-
Increase in equipment and materials held for resale	38,588	534,158	253,687
Non-current assets of company acquired			
Excess of cost over values assigned	367,184	-	-
Fixed assets	74,682	-	-
Increase in deferred charges and other	<u>62,738</u>	<u>1,000</u>	<u>-</u>
Total working capital applied	<u>1,715,473</u>	<u>1,335,862</u>	<u>996,365</u>
Working capital was provided by:			
Issuance of common stock	-	4,254,542	700,000
Common stock issued in acquisition of subsidiary	656,250	-	-
Disposal of fixed assets	<u>21,619</u>	<u>-</u>	<u>-</u>
Total working capital provided	<u>677,869</u>	<u>4,254,542</u>	<u>700,000</u>
Increase (Decrease) in Working Capital	<u><u>\$ (1,037,604)</u></u>	<u><u>\$ 2,918,680</u></u>	<u><u>\$ (296,365)</u></u>

MICROPIN CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENT OF CHANGES IN FINANCIAL POSITION - CONTINUED
THREE YEARS ENDED MARCH 31, 1982

	<u>1982</u>	<u>1981</u>	<u>1980</u>
Increase (decrease) in working capital consisted of the following:			
Cash	\$(1,543,166)	\$ 2,821,302	\$ (171,992)
Accounts receivable	451,047	7,761	-
Receivables from officers and stockholders	(3,028)	10,228	(5,000)
Interest receivable	22,711	16,367	-
Inventories	505,273	-	-
Prepaid expenses and other assets	28,748	4,331	(13,672)
Accounts payable	(316,829)	83,067	(138,479)
Accrued expenses	9,088	(24,376)	-
Notes payable	(171,086)	-	30,000
Equipment contracts payable	(20,362)	-	2,778
Increase (Decrease) in Working Capital	<u>\$(1,037,604)</u>	<u>\$ 2,918,680</u>	<u>\$ (296,365)</u>

The accompanying notes are an integral
part of these financial statements.

MICROPIN CORPORATION AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Company history - Micropin Corporation (the "Company") was engaged in the development of an electronic game (the "Micropin game") from its inception in April 1974, through the year ended March 31, 1980. Actual production began during the year ended March 31, 1980 and continued until the Company decided to terminate production of the Micropin game during the year ended March 31, 1982. The Company continues to operate the Micropin games on a limited basis in various locations throughout Southern California on a revenue-split basis. It is the Company's intention to sell the manufacturing and marketing rights for the Micropin game and the related assets (see note 6).

Furthermore, during the year ended March 31, 1982 the Company began purchasing and operating various electronic video games on a revenue-split basis.

As more fully described in note 11, the Company acquired all of the outstanding stock of Mobile Engineering, Inc., dba Elcon Industries, Inc., a manufacturer of electronic video games.

During the year ended March 31, 1982 the Company began engaging in certain investing and business consulting activities (see notes 4, 5 and 10).

Principles of consolidation - The consolidated financial statements include the accounts of the Company and its subsidiary. All significant intercompany transactions have been eliminated.

Fixed assets - Furniture and fixtures, electronic video games, machinery and equipment, leasehold improvements, and transportation equipment are recorded at cost. Depreciation and amortization are provided primarily on the straight-line method over the estimated useful lives of the related assets.

Major renewals and betterments are capitalized. Maintenance and repairs are expensed as incurred. When fixed assets are retired or otherwise disposed of, the related cost and accumulated depreciation are removed from the accounts. Gains and losses from retirement or disposal of fixed assets are credited or charged to income.

Goodwill - The excess of cost over fair value of net assets of the purchased subsidiary is recorded as goodwill and is amortized on a straight-line basis over 40 years.

Inventories - Inventories are valued at the lower of cost (first-in, first-out method) or market.

MICROPIN CORPORATION AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - continued

Income taxes - The provision for income taxes includes Federal and State income taxes currently payable. Investment tax credits are accounted for using the flow-through method.

Reclassifications - Certain reclassifications have been made to the prior years' financial statements to conform to current year presentation.

Income (loss) per share - Income (loss) per share of common stock is based upon the weighted average number of shares outstanding during each period. (See note 8).

2. CASH

A \$125,000 certificate of deposit is pledged as security for an open letter of credit which expires December 31, 1982.

3. INVENTORIES

Inventories consist primarily of video amusement game components. At March 31, 1982, these inventories consist of the following:

Raw materials	\$ 427,370
Work in process	<u>77,903</u>
	<u>\$ 505,273</u>

4. INVESTMENT

Under an agreement dated March 22, 1982, the Company will receive 150,000 shares of common stock of Financial News Network, Inc. (a development stage company) as compensation for consulting services. The shares are valued at their estimated fair market value based on a percentage of the expected offering price of Financial News Network, Inc.'s common stock in a public offering contemplated during 1982. The shares received by Micropin are not registered under the Securities Act of 1933.

MICROPIN CORPORATION AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

5. NOTES RECEIVABLE

Notes receivable at March 31, 1982 consist of the following:

Subordinated convertible note receivable
from Alphacom, Inc., due November 15, 1983
with interest at 15% payable quarterly
commencing May 11, 1982 (see note 10). \$ 538,973

Subordinated convertible note receivable
from Financial News Broadcasting Company,
parent company of Financial News Network,
Inc., with principal and interest at 15%
due on or before June 30, 1983. Any unpaid
principal and interest may be converted
to common stock at the rate of \$10 per share
through June 30, 1983. The stock is not
registered under the Securities Act of 1933. 166,496

\$ 705,469

6. EQUIPMENT AND MATERIALS HELD FOR RESALE

On April 10, 1981 management elected to suspend production of the Micropin game. At the time, the purpose of the action was to allow the Company the opportunity to design certain modifications to the game which, in the opinion of management, would increase its marketability. The Company subsequently decided to permanently terminate production of the Micropin game and sell all completed games, materials and rights to manufacture and market the game either outright or on a joint-venture basis. Management believes that, because of the high manufacturing costs of the game at the Company's present level of operations, better operating results can be achieved by selling the assets and rights to the game for a fixed price plus a royalty.

The related equipment and materials are being carried at cost and management is attempting to locate a qualified buyer and consummate the sale of these assets and rights referred to above. The Company's ability to recover the cost of these assets is contingent upon its ability to consummate the sale. While management believes it has located several prospective qualified buyers, its ability to recover the cost of these assets is presently considered to be uncertain. Certain balance sheet accounts at March 31, 1981 related to the Micropin game assets have been reclassified to conform to the current year presentation.

MICROPIN CORPORATION AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

7. NOTES PAYABLE

Notes payable at March 31, 1982 consist of the following:

Note payable to stockholder with interest at 15% and principal due on October 1, 1982. The stockholder has agreed to secure an account receivable of the subsidiary company with this note.	\$ 146,086
Note payable on demand with interest at 24%. Interest only payments of \$500 are due monthly.	<u>25,000</u>
	<u>\$ 171,086</u>

8. STOCKHOLDERS' EQUITY

Promotional shares and treasury stock - Two officer/shareholders relinquished a total of 36,000 shares of common stock as a condition of the stock issued in 1976. These shares are currently held as treasury stock. In addition, the remaining 464,000 shares held by these same shareholders are subject to other restrictions imposed by the California Department of Corporations. Such restrictions include a waiver of the right to share in dividends and the right to participate in any distribution of assets in the event of liquidation. The California Corporation Commissioner may remove these restrictions when the Company has demonstrated a satisfactory earnings record.

Stock option plans - The Company has provided options to purchase shares of its common stock to certain officers, directors, key employees and consultants pursuant to its "1978 Stock Option Plan" and its "1981 Stock Option Plan". The maximum number of shares issuable under the two plans is limited to the lesser of 400,000 shares or 10% of the total number of shares of outstanding common stock. The terms of the two plans are substantially the same. Activity under the two plans since the inception of the 1978 plan is summarized as follows:

	<u>Shares</u>	<u>Aggregate Purchase Price</u>
Options outstanding at April 1, 1979	50,500	\$ 252,500
Options granted	47,600	238,000
Options cancelled	<u>(500)</u>	<u>(2,500)</u>

MICROPIN CORPORATION AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

8. STOCKHOLDERS' EQUITY - continued

	<u>Shares</u>	<u>Aggregate Purchase Price</u>
Options outstanding at March 31, 1980	97,600	\$ 488,000
Options granted	72,200	194,069
Options cancelled	<u>(20,600)</u>	<u>(103,000)</u>
Options outstanding at March 31, 1981	149,200	579,069
Options granted	165,500	208,438
Options cancelled	<u>(117,700)</u>	<u>(337,281)</u>
Options outstanding at March 31, 1982	<u>197,000</u>	<u>\$ 450,226</u>
Options exercisable at March 31, 1982	<u>24,125</u>	<u>\$ 114,086</u>

Options to purchase 20,000 shares issued during the fiscal year ended March 31, 1980 became 100% exercisable at the end of one year. All remaining options become exercisable at the rate of 25% a year beginning one year from the date of grant. All options expire five years from the date of grant. The option price on options granted to date ranges from \$1.06 to \$5 per share.

Transactions with respect to options are recorded in the accounts only as the options are exercised.

Common stock purchase warrants - The Company has issued common stock purchase warrants for 150,000 shares of common stock at \$3.60 per share. The warrants are non-transferable and may not be exercised until one year after the date of issuance. The warrants are exercisable any time through October 1985. The total aggregate purchase price is \$540,000.

Unissued common stock - As explained in note 11, the Company acquired 100% of the outstanding stock of Mobile Engineering, Inc., dba Elcon Industries, Inc. in exchange for 500,000 shares of the Company's common stock. Although the shares have not actually been issued, the financial statements have been prepared as though these shares were issued and outstanding at March 31, 1982.

MICROPIN CORPORATION AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

8. STOCKHOLDERS' EQUITY - continued

Contingently issuable shares and warrants - As is more fully explained in note 11, the Company may be required to issue up to 170,000 shares of its common stock and warrants to purchase up to 250,000 shares of its common stock as part of the purchase price of the acquisition of the Company's subsidiary, contingent upon the subsidiary's earnings during the year ending March 31, 1983.

9. INCOME TAXES

At March 31, 1982, for Federal income tax purposes, the Company had net operating loss and investment tax credit carryforwards as follows:

<u>Expiration Date</u>	<u>Net Operating Losses</u>	<u>Investment Tax Credits</u>
1990	\$ 637	\$ 151
1991	92,010	-
1992	345,577	247
1993	284,399	-
1994	232,116	1,383
1995	710,888	5,104
1996	798,369	16,394
1997	-	19,460
	<u>\$ 2,463,996</u>	<u>\$ 42,739</u>

Net operating loss carryforwards available to reduce future taxable income are to be recognized for financial reporting purposes during the periods in which they are realized.

10. NOTE RECEIVABLE FROM ALPHACOM, INC.

On May 14, 1981, the Company loaned Alphacom, Inc., an unrelated company ("Alphacom"), the sum of \$500,000 in cash in exchange for a 15% subordinated convertible note ("note"). On February 25, 1982, the note was renegotiated and a new note was issued. Under the terms of the new note, the Company received \$20,000 in cash as payment in part for accrued interest through that date. The remaining accrued interest of \$38,973 was included in the principal of the new note. The new note has a principal balance of \$538,973 with interest at 15% per annum and is payable in full on November 15, 1983. Interest is payable quarterly beginning May 11, 1982 until the

MICROPIN CORPORATION AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

10. NOTE RECEIVABLE FROM ALPHACOM, INC. - continued

note is paid in full. Furthermore, under the terms of the note, Micropin may convert up to 100% of the unpaid portion of the note to common stock of Alphacom at \$2.10 per share at any time prior to November 15, 1982. The note is unsecured and is subordinated to indebtedness of all institutional creditors of Alphacom. The Company also received warrants to purchase up to 210,000 shares of Alphacom common stock at \$2.10 per share. The warrants are exercisable at any time through June 30, 1986.

Alphacom was formed in December 1979 and has incurred substantial operating losses since its inception. It received approximately \$2,200,000 in long-term loans including approximately \$1,600,000 in convertible notes (including the note payable to Micropin) during its fiscal year ended February 28, 1982, and an additional \$670,000 in proceeds from the issuance of convertible long-term debt since February 28, 1982. Alphacom's ability to repay the note to Micropin is dependent upon its ability to obtain additional financing and/or achieve profitable operations.

11. ACQUISITION

On January 1, 1982, the Company purchased all of the outstanding stock of Mobile Engineering, Inc., dba Elcon Industries, Inc. ("Elcon"), a manufacturer of video amusement games. Under the terms of the acquisition agreement the former shareholder of Elcon was to receive 500,000 shares of Micropin's common stock (aggregate market value of \$656,250), plus an additional 170,000 shares and warrants to purchase up to an additional 250,000 shares contingently issuable based upon the earnings of Elcon during the year ending March 31, 1983 (the 170,000 shares become issuable in increments beginning at 50,000 shares for Elcon's pre-tax earnings between \$400,000 and \$620,000 and the stock purchase warrants become issuable in increments beginning at 150,000 shares for pre-tax earnings between \$500,000 and \$700,000). The purchase warrants will be exercisable for a period of three years from the date of issuance at a price per share of approximately \$1.31.

The acquisition has been accounted for by the purchase method. Accordingly, the results of operations of the subsidiary have been consolidated with those of the Company since January 1, 1982. The excess of the total acquisition price over the fair value of the net assets acquired is recorded as goodwill in the amount of \$367,184 and is being amortized on the straight-line basis over forty years.

MICROPIN CORPORATION AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

11. ACQUISITION -- continued

A pro forma consolidated statement of operations for the three years ended March 31, 1982 giving effect to the acquisition is not presented because the separate results of operations and other financial information for Elcon for those periods are not available.

Elcon is also committed to the former shareholder under the terms of an employment agreement to serve as Elcon's president for a period of five years at \$75,000 per year plus certain fringe benefits.

12. COMMITMENTS

Micropin Corporation and its subsidiary lease their office space and manufacturing facilities. Micropin's lease expires in 1988 and Elcon's expires in 1984. Rent expense was \$57,244 and \$46,880 for the years ended March 31, 1982 and 1981, respectively. Future minimum payments under all non-cancellable leases are as follows:

<u>Year Ended March 31,</u>	<u>Amount</u>
1983	\$ 57,600
1984	57,600
1985	28,800
1986	28,800
1987	28,800

13. LITIGATION

The Company's wholly-owned subsidiary, Elcon (note 11), is defendant in two lawsuits. Both lawsuits were filed by major manufacturers of video games and allege copyright infringement, patent infringement, trademark infringement and unfair competition. The lawsuits, which were filed on April 22, 1982 and May 12, 1982, respectively, are in the pre-trial discovery stages, and seek unspecified damages. Management believes that Elcon has adequate defenses against the lawsuits and that they will not result in any material liability to the Company. However, since the proceedings are still in the pre-trial stages the ultimate impact on the financial statements cannot be estimated.

Micropin was plaintiff in an action filed November 2, 1978 against another company alleging breach of contract and misrepresentation. In June 1979, the defendant company filed a cross-complaint against Micropin alleging breach of contract. The parties have agreed, in principle, to terminate the litigation by dismissal of the complaint and cross-complaint. Accordingly, the settlement of this litigation has resulted in no material impact on the financial statements.

PART III

Item 9. (Not applicable)

Item 10. Directors and Executive Officers of the Registrant

The following information as of March 31, 1982 is furnished with respect to each director and executive officer:

<u>Name of Director</u>	<u>Age</u>	<u>Year first elected as director</u>	<u>Term Expires</u>	<u>Position with Company</u>
Joel S. Heinrich	43	1974	6/82	Chairman of the Board
R. Bruce Stewart	45	1974	6/82	President, Treasurer and Director
William F. Rinehart	57	1981		Secretary
Thomas R. Spiel	47	1974	6/82	Director
F. Rigdon Currie	48	1981	6/82	Director

FAMILY RELATIONSHIPS

There are no family relationships among the officers listed, and there are no arrangements or understandings pursuant to which any of them were elected as officers. All officers hold office for one year and until their successors are elected and qualified, unless otherwise specified by the Board of Directors; provided, however, that any officer is subject to removal with or without cause, at any time, by a vote of majority of the Board of Directors.

BUSINESS EXPERIENCE

Mr. Heinrich, age 43, was a stockbroker for nine years prior to forming the Company with Mr. Stewart, including employment with Walston & Co., Inc., Mitchum, Jones and Templeton, Inc., BWA Incorporated and Paine, Webber Jackson & Curtis, Inc. Mr. Heinrich was a Branch Manager for Mitchum, Jones and Templeton, Inc.

Mr. Stewart, age 45, was a business consultant to various individuals and companies, including several engaged in the manufacture and distribution of amusement equipment, from early 1972 until forming the Company with Mr. Heinrich. From mid-1968 to early 1972, when his corporation was sold to Systems Engineering Laboratories, Inc., he was a co-founder and Vice President of Multidata, Inc., a designer and manufacturer of small scientific computers.

Mr. Rinehart, age 57, has been a practicing attorney in Los Angeles for over 24 years and is a partner in the firm of Macdonald, Halsted & Laybourne, counsel to the Company.

Mr. Spiel, age 47, was employed by the McDonalds Restaurants for the past 14 years and is currently owner/operator of 4 McDonald locations.

BUSINESS EXPERIENCE - Continued

Mr. Currie, age 48, was vice-president of marketing and sales for the computer division of Atari, Inc. Earlier he was vice-president for marketing and planning of Diablo Systems, a subsidiary of Xerox Corporation.

OTHER

There have been no events under any bankruptcy act, no criminal proceedings and no judgments or injunctions material to the evaluation of the ability and integrity of any director or executive officer during the past five years.

Item 11. Remuneration

Mr. Stewart devotes full time to the business and operations of the Company and received a compensation of approximately \$48,000. Mr. Heinrich resigned as an officer in July 1981 but is still a director of the Company. He received compensation of approximately \$30,000 during the year. As a partner in Macdonald, Halsted & Laybourne, counsel of the Company, Mr. Rinehart participates in fees paid or to be paid to that firm by the Company for legal services. For the year ended March 31, 1982, the Company paid \$25,436 to Macdonald, Halsted & Laybourne for legal services. During the fiscal year ended March 31, 1982, all officers and directors as a group received aggregate direct remuneration of approximately \$78,000.

The Company does not have a deferred compensation, profit sharing or retirement plan.

Item 12. Security Ownership of Certain Beneficial Owners and Management.

The following table lists the only persons known to the Company as of March 31, 1982 who own beneficially more than five percent of the Company's outstanding common stock, and ownership by officers and directors individually and as a group:

<u>Name or Group</u>	<u>No. of Shares</u>	<u>Percent</u>
Andre Dubell	500,000 (1)	12.9%
R. Bruce Stewart	232,000	6.0%
Joel S. Heinrich	116,000	3.0%
Thomas R. Spiel	103,000	2.7%
William F. Rinehart	1,000	-
Officers and directors as a group	952,000	24.7%

- (1) Shares to be issued for the acquisition of Elcon Industries, Inc. These shares are treated as issued and outstanding.

PART IV

Item 13. Exhibits, Financial Statement Schedules and Reports on Form 8-K

(a) 1. Financial Statements

Included in Part II of this report:

Report of Independent Certified Public Accountants

Statements of Operations for the three years
ended March 31, 1982

Balance Sheets at March 31, 1982 and 1981

Statements of Stockholders' Equity for the three
years ended March 31, 1982

Statements of Changes in Financial Position for
the three years ended March 31, 1982

Notes to Financial Statements

(a) 2. Financial Statements Schedules

Included in Part IV of this report:

Report on Financial Statement Schedules of Independent
Certified Public Accountants

For the three years ended March 31, 1982

Schedule V-- Property and Equipment

Schedule VI-- Accumulated Depreciation and Amortization
of Property and Equipment

Other schedules are omitted because of the absence of conditions under which they are required or because the required information is given in the financial statements or notes thereto.

(a) 3. Exhibits

None

(b) Reports on Form 8-K

A Form 8-K was filed during the last quarter of the year ended March 31, 1982 reporting the acquisition of Elcon Industries, Inc.

REPORT OF INDEPENDENT CERTIFIED PUBLIC ACCOUNTANTS
ON FINANCIAL STATEMENT SCHEDULES

To the Shareholders and Board of Directors
of Micropin Corporation

The examination referred to in our opinion dated June 24, 1982 of the financial statements as of March 31, 1982 and 1981 and each of the three years in the period ended March 31, 1982 included the related supplemental financial schedules as listed in Item 11(a)2, which, when considered in relation to the basic financial statements, present fairly in all material respects the information shown therein.

APODACA, FINOCCHIARO & CO.
Certified Public Accountants

Pasadena, California
June 24, 1982

MICROPIN CORPORATION

PROPERTY AND EQUIPMENT

Schedule V

<u>Column A</u> <u>Classification</u>	<u>Column B</u> <u>Balance at</u> <u>Beginning</u> <u>of Period</u>	<u>Column C</u> <u>Additions</u> <u>at</u> <u>Cost</u>	<u>Column D</u> <u>Retirements</u>	<u>Column E</u> <u>Other</u> <u>Changes</u> <u>Add (deduct)</u>	<u>Column F</u> <u>Balance at</u> <u>End of</u> <u>Period</u>
Year ended March 31, 1982:					
Furniture and Fixtures	\$ 30,147	\$ 28,685	\$	\$	\$ 58,832
Electronic Game Equipment	215,437	33,549		(248,986)	
Machinery and Equipment	45,057	32,236			77,293
Transportation Equipment	13,024	14,973			27,997
Video Game Equipment		293,416	21,617		271,799
Leasehold Improvements		12,528			12,528
	<u>\$ 303,665</u>	<u>\$ 415,387</u>	<u>\$ 21,617</u>	<u>\$(248,986)</u>	<u>\$ 448,449</u>
Year ended March 31, 1981:					
Furniture and Fixtures	\$ 29,670	\$ 477	\$	\$	\$ 30,147
Electronic Game Equipment	15,100	200,337			215,437
Machinery and Equipment	35,080	9,977			45,057
Transportation Equipment		13,024			13,024
	<u>\$ 79,850</u>	<u>\$ 223,815</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 303,665</u>
Year ended March 31, 1980:					
Furniture and Fixtures	\$ 23,941	\$ 5,729	\$	\$	\$ 29,670
Electronic Game Equipment		15,100			15,100
Machinery and Equipment	2,963	32,117			35,080
	<u>\$ 26,904</u>	<u>\$ 52,946</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 79,850</u>

MICROPIN CORPORATION

ACCUMULATED DEPRECIATION AND AMORTIZATION
OF PROPERTY AND EQUIPMENT

Schedule VI

<u>Column A</u> <u>Classification</u>	<u>Column B</u> <u>Balance at</u> <u>Beginning</u> <u>of Period</u>	<u>Column C</u> <u>Additions</u> <u>at</u> <u>Cost</u>	<u>Column D</u> <u>Retirements</u>	<u>Column E</u> <u>Other</u> <u>Changes</u> <u>Add (deduct)</u>	<u>Column F</u> <u>Balance at</u> <u>End of</u> <u>Period</u>
Year ended March 31, 1982:					
Furniture and Fixtures	\$ 16,013	\$ 5,865	\$	\$	\$ 21,878
Electronic Game Equipment	10,858			(10,858)	
Machinery and Equipment	6,197	8,009			14,206
Transportation Equipment	552	2,789			3,341
Video Game Equipment		49,406			49,406
Leasehold Improvements		313			313
	<u>\$ 33,620</u>	<u>\$ 66,382</u>	<u>\$ -</u>	<u>\$ (10,858)</u>	<u>\$ 89,144</u>
Year ended March 31, 1981:					
Furniture and Fixtures	\$ 10,434	\$ 5,579	\$	\$	\$ 16,013
Electronic Game Equipment		10,858			10,858
Machinery and Equipment	2,043	4,154			6,197
Transportation Equipment		552			552
	<u>\$ 12,477</u>	<u>\$ 21,143</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 33,620</u>
Year ended March 31, 1980:					
Furniture and Fixtures	\$ 5,422	\$ 5,012			\$ 10,434
Machinery and Equipment	933	1,110			2,043
	<u>\$ 6,355</u>	<u>\$ 6,122</u>			<u>\$ 12,477</u>
Year ended March 31, 1979:					
Furniture and Fixtures	\$ 1,500	\$ 3,922			\$ 5,422
Machinery and Equipment	636	297			933
	<u>\$ 2,136</u>	<u>\$ 4,219</u>			<u>\$ 6,355</u>

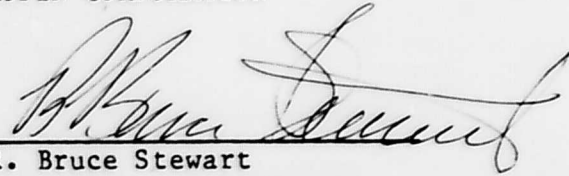
SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the Registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

MICROPIN CORPORATION

June 29, 1982

By:

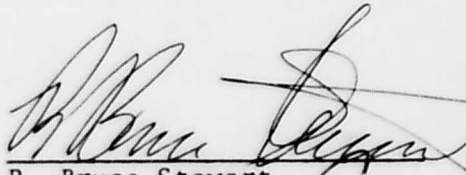

R. Bruce Stewart
President and Treasurer

Pursuant to the requirements of the Securities Exchange Act of 1934, this report signed below by the following persons on behalf of the Registrant and in the capacities and on the dates indicated.

Thomas R. Spiel

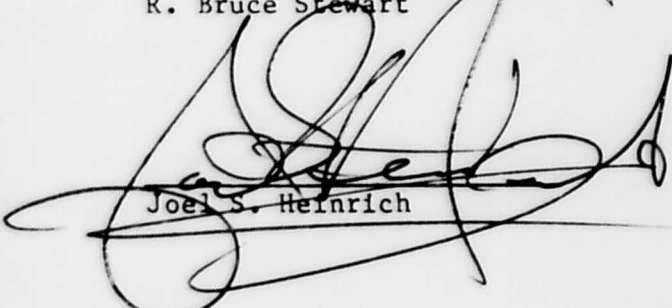
Director

June 29, 1982


R. Bruce Stewart

President, Treasurer and
Director (Principal
Executive Officer)

June 29, 1982


Joel S. Heinrich

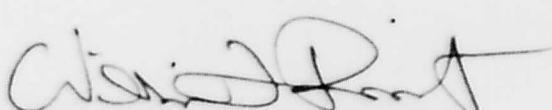
Director

June 29, 1982

F. Rigdon Currie

Director

June 29, 1982


William F. Rinehart

Director

June 29, 1982

END